



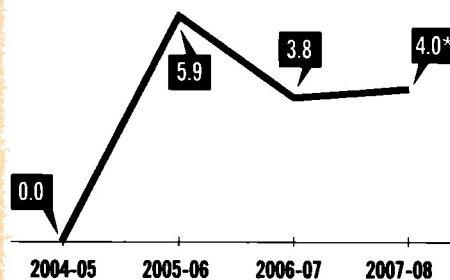
GREEN TRACK

Average GDP growth rates of agriculture and allied sectors

Pre-Green Revolution	1951-1968	2.5%
Green Revolution	1969-1981	2.4%
Wider Tech Period	1982-1991	3.5%
Early Reforms Period	1992-1997	3.7%
Ninth & 10th Plan	1998-2007	2.5%

FARMING SUCCESS

Agricultural growth stabilises with focus and investment



Source: Economic Survey 2007-08. * Provisional data

Rs 7 per kg.” True, but that is the theory. The PDS hosts the biggest racket as has been pointed out by studies and by the Comptroller and Auditor General.

Pawar doesn't shy away from the problems of theft and leakage in the PDS system. The problem, he says, is in the political pricing of foodgrain. “I think we should provide foodgrain to the poor at affordable prices.” The debate is: should those above the poverty line not pay at least the cost price, if not the market price? Also, can prices be static in the context of rising input costs? Procurement prices, for instance, have doubled but PDS prices are static at 2002 levels. So why should a consumer above the poverty line get rice at Rs 7 per kg when it costs the Food Ministry around Rs 20 and when the market price could be between Rs 18 and Rs 20? His ministry has repeatedly argued that the artificially low pricing, the difference between PDS prices and market prices fuel diversion and theft. Successive regimes have analysed the phenomenon but have been paralysed by the fear of electoral backlash.

In a sense, Pawar the agriculture

minister who wants higher prices for farmers is in conflict with Pawar the food minister who has to maintain price line while Pawar the consumer affairs minister struggles to manage public distribution. But conflicts and complexities are the tools of the trade for the man who toppled Vasantdada Patil with the help of a motley group of legislators ranging from leftists to socialists to the Jan Sangh to become the youngest chief minister of Maharashtra in 1978. “In a vast country as ours, complexities, inevitable as they seem, also produce unique opportunities and solutions.”

For now, he is focusing on the primary issue of making farming viable and raising the incomes of farmers. His formula is simple: enable one member to find a non-farming job, enlarge the scope of activities for farmers by encouraging them to get into dairy farming, fishery and most critically, horticulture. “I see great potential for horticulture and the north-eastern states have proved it.”

But what about wastage? Only 2 per cent of the produce is processed

and Rs 59,000 crore of it is wasted every year. For someone who kick-started his political career driving profiteering traders out of Baramati and marketing the produce of farmers directly in the Pune mandi, this is one issue that hurts badly. “We are working on it. Over 90 per cent of the processing units are sick. If a cluster of villages grows one product, it is viable for a processing unit in the area.”

His other pet project is to expand the scope of credit. Incidentally, his ministry, much before the now-famous loan waiver, had suggested a scheme where receivables of defaulters would be put in a suspense account allowing them to be eligible for credit. On repayment, a portion of the non-performing assets is adjusted. This precludes the issue of moral hazard and protects financial institutions which, Pawar says, “people have trusted their hard-earned monies with”.

Clearly, Pawar is not resting on the bumper crop. He is sowing and nurturing new ideas for a bumper political harvest. After all, he is cultivating the largest vote bank in the country. ■